

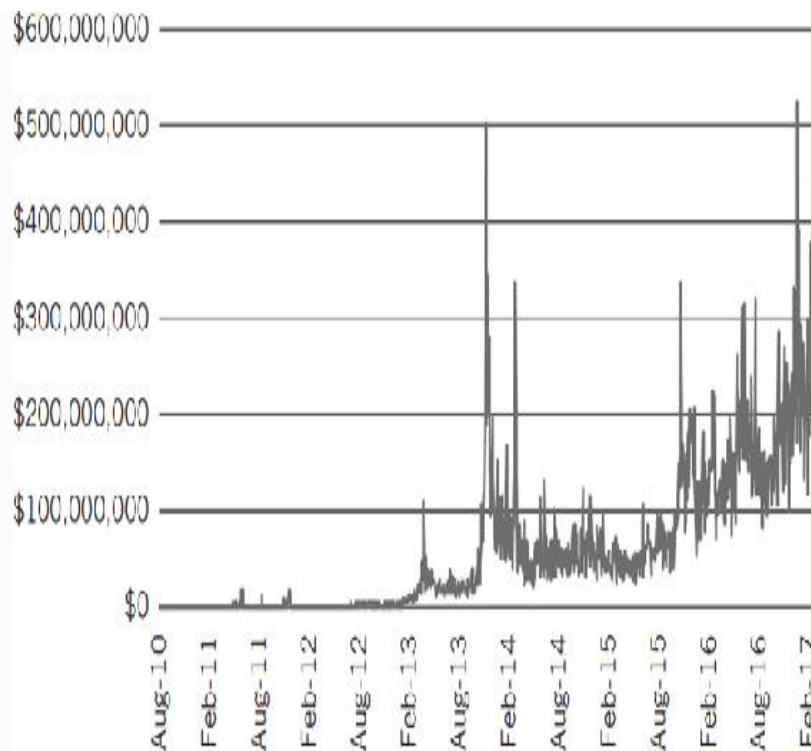


Figure 13.20 ■ Estimated transaction volume per day using Bitcoin's blockchain
Data sourced from Blockchain.info

A Potential Valuation Method

Just as valuation methods for equities have evolved over the years, so too will methods to value cryptoassets grow over time. One valuation method we're considering is to calibrate how much the market is willing to pay for the transactional utility of a blockchain. To gain this information, we divide the network value of a cryptoasset by its daily transaction volume. If the network value has outpaced the transactional volume of that asset, then this ratio will grow larger, which could imply the price of the asset has outpaced its utility. We call this the crypto "PE ratio," taking inspiration from the common ratio used for equities. For cryptoassets we put forth that the